

Emerson Electric—"While adequately priced (at 71) on the current outlook, the shares have appeal for the long term.... A continued acquisition policy together with a strong position in industrial fields and an accelerated international program suggests further sales and earnings progress."

Emery Air Freight—"The shares appear amply priced (at 57) on current prospects, but are well worth holding for the long pull."

Emhart—"Although restricted this year by lower capital spending in the glass-container industry, earnings should be aided by an improved business environment in 1972. The shares are worth holding (at 34)."

Conclusions: Many financial analysts will find Emerson and Emery more interesting and appealing stocks than the other two—primarily, perhaps, because of their better "market action," and secondarily because of their faster recent growth in earnings. Under our principles of conservative investment the first is not a valid reason for selection—that is something for the speculators to play around with. The second has validity, but within limits. Can the past growth and the presumably good prospects of Emery Air Freight justify a price more than 60 times its recent earnings?¹ Our answer would be: Maybe for someone who has made an in-depth study of the possibilities of this company and come up with exceptionally firm and optimistic conclusions. But *not* for the careful investor who wants to be reasonably sure in advance that he is not committing the typical Wall Street error of overenthusiasm for good performance in earnings and in the stock market.* The same cautionary statements seem called for in the case of Emerson Electric, with a special reference to the market's current valuation of over a billion dollars for the intangible, or earning-power, factor here. We should add that the "electronics industry," once a fair-haired child of the stock market, has in general fallen on disastrous days. Emerson is an outstanding exception, but it will have to continue to be such an exception for a great many years in the future before the 1970 closing price will have been fully justified by its subsequent performance.

By contrast, both ELTRA at 27 and Emhart at 33 have the earmarks of companies with sufficient value behind their price to constitute reasonably protected investments. Here the investor can, if he wishes, consider himself basically a part owner of these businesses, at a cost corresponding to what the balance sheet shows to be the money invested therein.* The rate of earnings on invested capital has long been satisfactory; the stability of